TastyBites
Pricing & Profitability Case Study

Business Case Study

Junior Data Analyst Project

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Business Background

- Multi-city food delivery app
- High sales but uneven profitability
- Discounts heavily used
- Need profit-focused optimization

Business Objectives

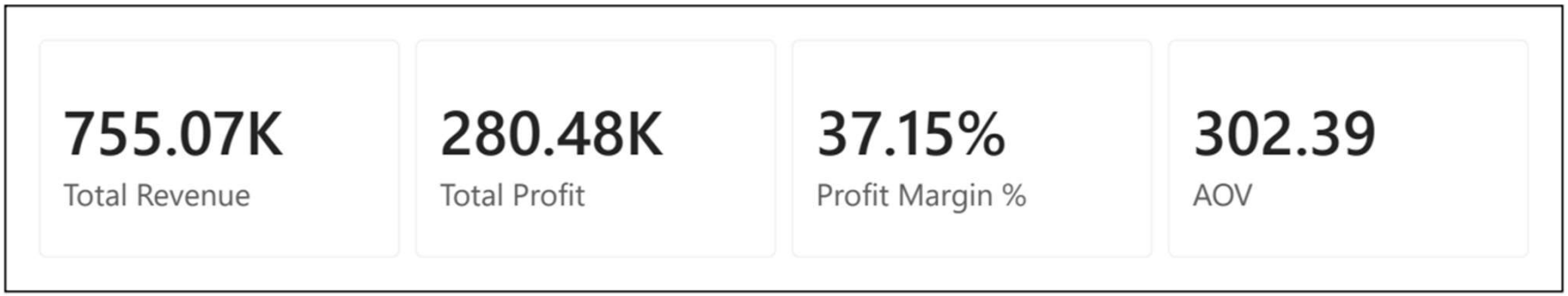
- Identify high vs low profit products
- Analyze discount impact
- Understand product and category contribution to total profit
- Improve pricing & promotions

Dataset Overview

- Transaction-level data (2 Years)
- Products, categories, discounts
- Discount capped at 25%
- Profit = Revenue – Cost

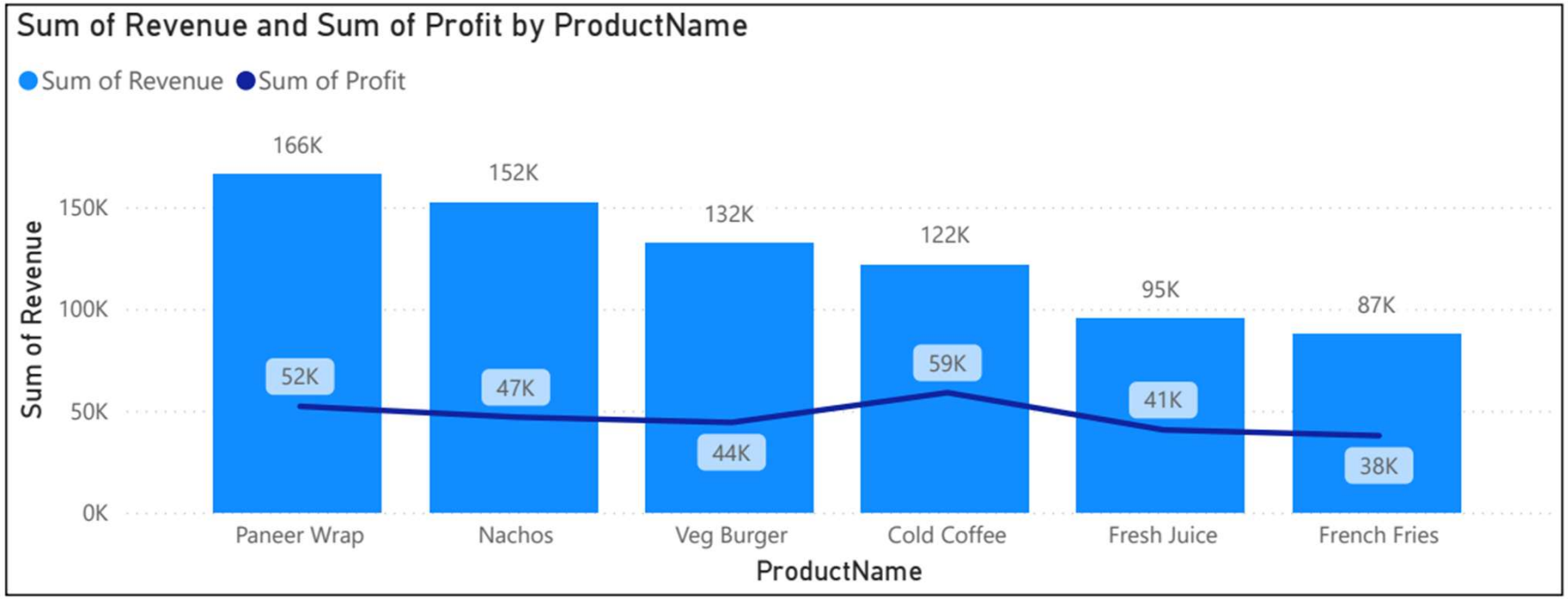
Key KPIs

- Total Revenue: 755K
- Total Profit: 280K
- Profit Margin: 37%
- AOV: 302



Revenue & Profit by Product

- Paneer Wrap highest revenue
- Cold Coffee high margin
- Snacks show margin pressure

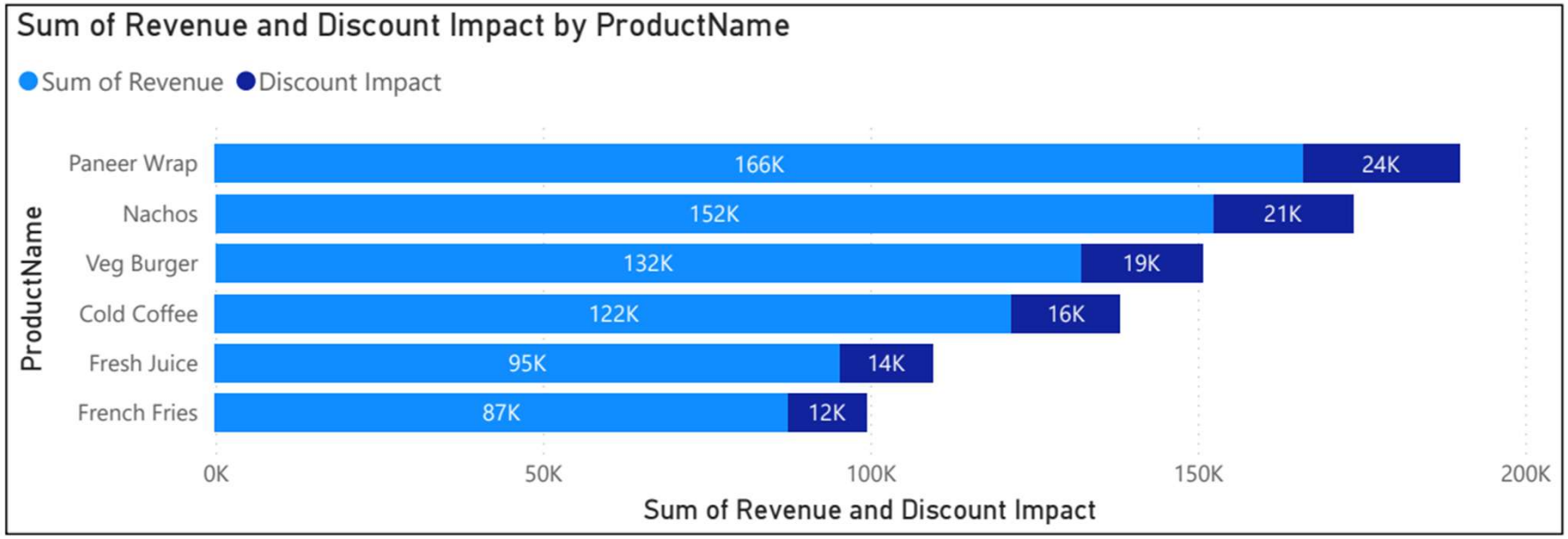


Profit by Category

- Beverages highest profit
- Meals moderate
- Snacks lowest margin

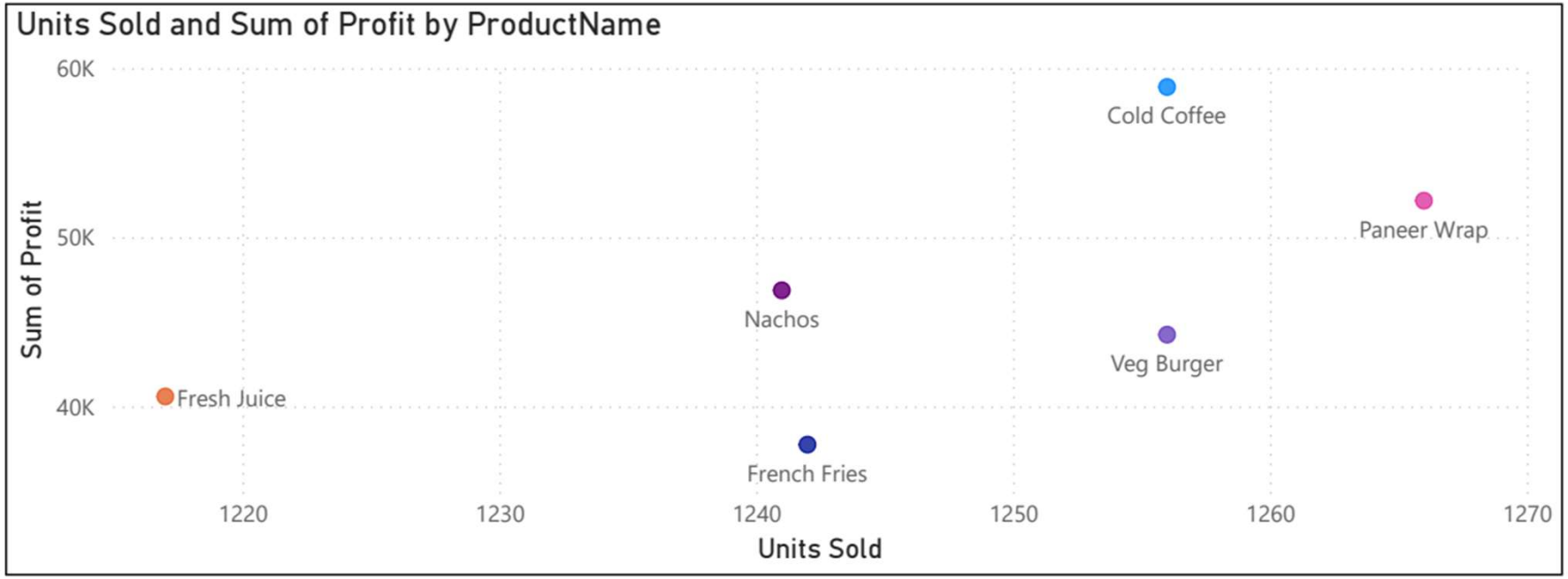
Discount Impact

- High discounts reduce profit
- Paneer Wrap & Nachos most impacted
- No proportional revenue gain



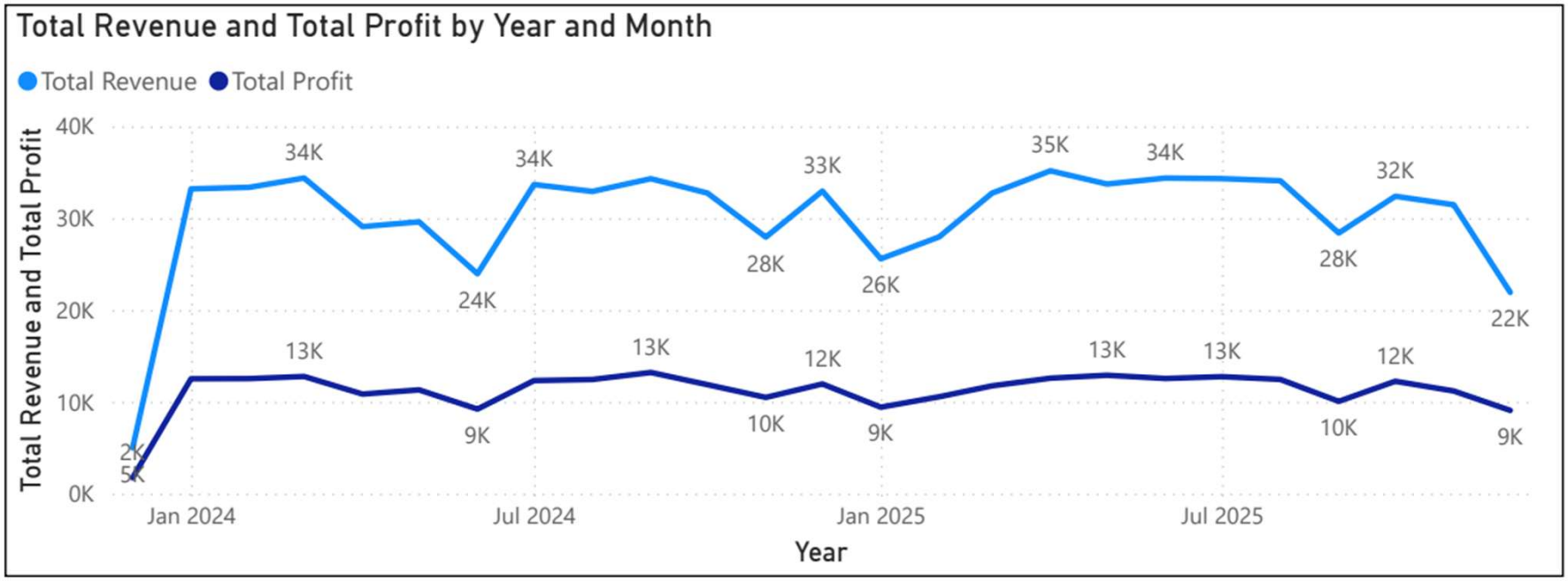
Units Sold vs Profit

- High volume ≠ high profit
- French Fries low contribution
- Cold Coffee efficient



Time Trend Analysis

- Stable revenue
- Profit flattens during discount periods



Profit Margin Comparison

- Cold Coffee: 48%
- Fresh Juice: 42%
- Nachos: 31%

ProductName	Profit Margin %	Profit Contribution %
Cold Coffee	48.39%	0.21
French Fries	43.17%	0.13
Fresh Juice	42.57%	0.14
Nachos	30.76%	0.17
Paneer Wrap	31.40%	0.19
Veg Burger	33.48%	0.16
Total	**37.15%**	**1.00**

Key Insights

- Discount sensitivity above 10%
- Beverages are margin drivers
- Snacks need price review

Quick Win Recommendations

- Reduce discounts
- Promote beverages
- Cap discounts at 15%

Long-Term Strategy

- Price optimization
- Bundling snacks + beverages
- Category expansion

Conclusion

- Profit-focused pricing improves margins
- Data-driven decisions
- Scalable dashboard solution